Balance of payments

A country's balance of payments (BOP) is a record of its international transactions over a set period of time. This record tracks goods, services, and investment into, and out of, the country.

How it works

A country's balance-of-payments account provides a record of all of its international credits and debits. Transactions that result in money flowing into a country will appear as a credit, while transactions moving money out of the country will appear as a debit. The BOP account has three parts: the current account, which measures goods and services; the capital account, which tracks the movement of capital and non-financial assets; and the financial account, which looks at investment.

In theory, a country's BOP should total zero, as each credit to the current account will correspond with a debit to the capital account, and vice versa. In reality, as a result of variations in accounting practices and regular exchange rate fluctuations, this rarely happens.

International flow

A country's balance of payments includes transactions by individuals, businesses, and the government. Tracking these transactions helps the government determine how much money is coming into and leaving the country, and in which economic areas there is a deficit or surplus.

THE THREE PARTS OF A BOP ACCOUNT

A balance of payments account is separated into three main accounts, each of which track different types of international transactions into and out of the country. The three main accounts are, in turn, divided into sub-accounts, to chart specific areas of expenditure.

Current account

- Raw materials and merchandise
- Services, such as business, tourism, or transportation
- Income, including from property and shares
- Unilateral or one-way transfers, such as foreign aid or gifts

Capital account

- Capital transfers, such as money transfers or assets of migrants
- Non-produced, non-financial assets, such as natural resources and land

Financial account

- Assets held abroad, such as bonds, investment, and foreign currency
- Foreign-owned assets at home, including bonds, investment, and local currency

COUNTRY'S BOP

CURRENT ACCOUNT	CAPITAL ACCOUNT	FINANCIAL ACCOUNT
Credit	**Debit**	**Debit**
+€2bn	–€1bn	–€1bn
TOTAL: 0		